Taxes & Profit After Taxes

We need to look at the total tax expense as a percentage of revenue, which has been fairly stable. So no need to dig deeper into it.

Tax expense						
Current tax	5%	6%	6%	6%	5%	5%
Deferred tax/ (credit)	0%	0%	0%	0%	0%	0%
Total Tax Expense	6%	6%	6%	6%	5%	5%

Next, we need to account for contribution by other items which includes-

Profits from JV and Associates

Non-controlling interests

As seen, the PAT of the company has been following an upward trajectory. However, we need to be careful of the fact that once COVID goes away, a lot of expenses will come back to normalcy. Also, the revenue of the company will also come back to normalcy. We therefore need to keep a close eye on the margins going ahead.

We can see that each line item has its contribution in affecting the overall Profit margins at different levels and we need to understand the different cost drivers for each of them.

Each line item affects the net margins.

You can use different trend if you feel so

Profits from JV and Associates	0%	0%	0%	0%	0%	0%
Non-controlling interests	0%	0%	0%	0%	0%	0%
Exceptional Items	0%	0%	0%	0%	-1%	0%
PAT	14%	14%	15%	13%	15%	16%

Other Comprehensive Income

The company does not have any size-able Other Comprehensive Income. The numbers as a percentage of revenue is very small. If the numbers were higher, we would have dug deeper into understanding the items.

OCI						
Remeasurement of defined benefit plan	0%	0%	0%	0%	0%	0%
Income Tax related to OCI	0%	0%	0%	0%	0%	0%
Exchange difference on translation	0%	0%	0%	0%	0%	0%
Total OCI	0%	0%	0%	0%	0%	0%